

TESGI Decision Memo - CASE_0006

TESI Advisory Decision Memo

****Client:** Rachel & Tom Foster**

****Date:** July 5, 2024**

****Property:** 78 Boundary Street, Millfield SA 5153**

****Prepared by:** TESI Advisory**

****Service Type:** Non-Representational Decision Analysis**

1. Client Objective (As Understood)

You are considering purchasing a residential property with granny flat at 78 Boundary Street, Millfield for \$685,000

1. Family home with rental income from granny flat
2. Offset mortgage with rental income (~\$350/week expected)
3. Long-term family home (10+ years)
4. Budget: \$685,000 purchase + \$30,000 improvements

You describe your risk tolerance as low-moderate. This is your first home purchase, and you are using most of your savings for this purchase.

2. Information Snapshot

Known Facts

- Main dwelling is permitted and generally compliant (with noted repairs)
- Granny flat has ****no building permit****
- Granny flat has ****no occupancy certificate****
- Granny flat has substandard electrical wiring (safety hazard)
- Main house has unpermitted bathroom renovation
- Title has restrictive covenant (height limit - granny flat appears compliant)
- Vendor states granny flat "been there 20 years with no problems"

Key Problems

| Issue | Implication |

|-----|-----|

| No building permit | Structure is unpermitted; council can order demolition |

| No occupancy certificate | Unlawful to rent for habitation |

| Substandard electrical | Safety hazard; must be rectified; may void insurance |

| Unpermitted bathroom | Minor compliance issue; should be rectified |

3. TRUE Assessment Summary

Compliance failures are definitively established through council records and professional inspection. The granny flat is not legally rentable.

****TRUE Status: PASS (facts are known; they reveal significant problems)****

4. NORTH Assessment Summary

Long-term ownership depends on resolving compliance issues. Continuing to rent an unpermitted structure creates significant financial and legal risk.

****NORTH Status: UNCERTAIN ? Depends on compliance resolution****

5. ALIGNED Assessment Summary

Your rental income strategy (\$350/week mortgage offset) depends entirely on the granny flat being legally rentable.

****ALIGNED Status: CONDITIONAL ? Requires compliance certainty****

6. Decision State

- ☐ Proceed
- ☒ Pause
- ☐ Avoid / Walk Away

7. Missing Information List

Before proceeding, you need:

1. ****Council pre-application advice on retrospective permit****
 - Can the granny flat be retrospectively approved?
 - What upgrades would be required to meet current standards?